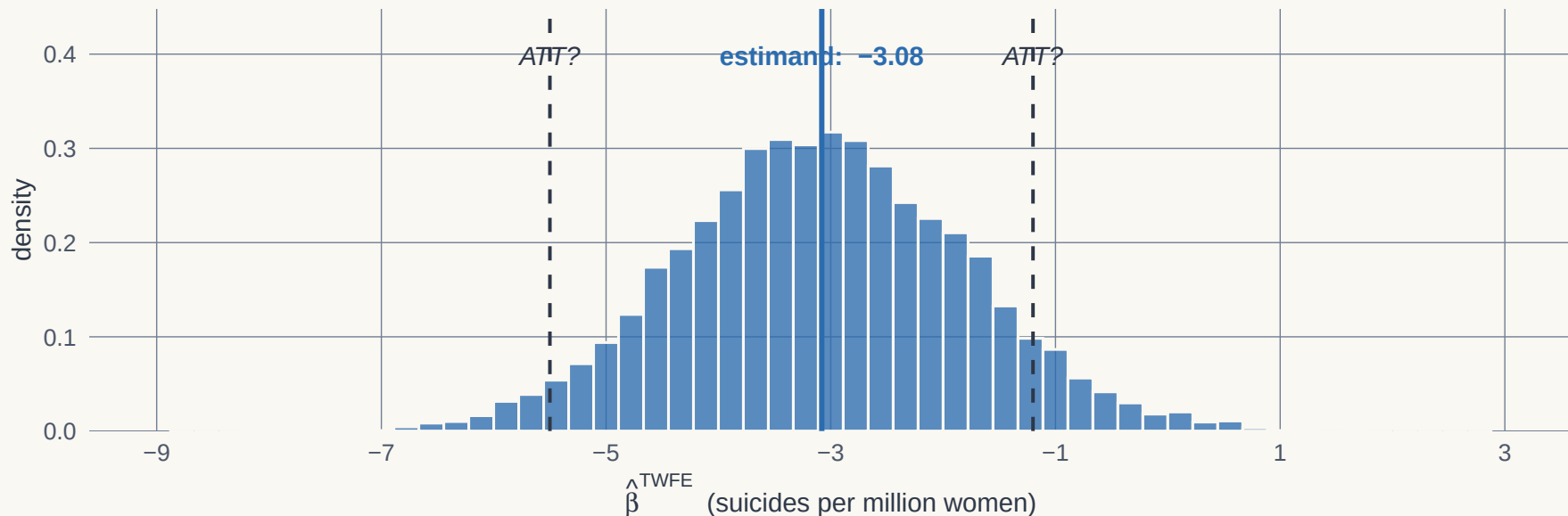


TWFE is unbiased for its estimand

8,000 iid draws of $\hat{\beta} \sim N(-3.08, 1.27^2)$ · Bacon (2021) SW replication



LLN/CLT: $\hat{\beta}$ converges to the OLS population estimand. Whether the estimand IS the ATT is a separate question.

Even when parallel trends holds, bias = $-\Delta\text{ATT}$ – the dynamic-heterogeneity term from already-treated controls. Sign unknown.